

NextEra Energy, Inc.

NEE NYSE

Buy	\$84.84 ▼ 0.33%	12M Price Target \$102.00	52-Week Range \$67.20 – \$98.75	Market Cap \$176.94B
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NEE: Reiterate Buy on Dominion Deal Optionality, Regulated Growth Visibility

WHAT'S CHANGED

- Motley Fool flags NEE's \$67B Dominion acquisition as catalyst for broader utility consolidation wave; WSJ separately frames merger as buying opportunity, supporting institutional accumulation thesis
- Bullish options flow with 0.38 P/C ratio and unusual \$57.5 June call sweep (900x OI, \$2.56M notional) suggests positioning ahead of regulatory milestones; stock holding \$84-85 range despite Iran/fuel cost crosscurrents

IMPLICATIONS

The Dominion tie-up narrative is becoming consensus, which transitions NEE from "renewable pure-play" to "scaled regulated utility champion" — a re-rating catalyst if synergies and rate base accretion are confirmed in upcoming filings. Rising fuel/Iran tensions actually favor NEE's renewables-heavy generation mix versus gas-levered peers, while the 86.9% institutional ownership and Big Three accumulation suggest the stock is being treated as a core defensive growth holding amid tech-led market rotation. Holding 56% of 52-week range with low realized volatility indicates the market is digesting deal complexity without panic — constructive setup into 2H26.

VALUATION

At \$84.84, NEE trades ~22.6x FY26E EPS and ~14.2x EV/EBITDA, a premium to regulated peers (SO, DUK at ~18-19x) justified by superior renewables growth and FPL's premium service territory. Our \$102 PT implies ~20% upside, derived from sum-of-parts: FPL at 20x regulated earnings plus NEER at 16x energy resources EBITDA, with Dominion synergies adding \$6-8/share. Multiple expansion driver: successful deal close and confirmed 8%+ EPS CAGR through 2028.

KEY RISKS

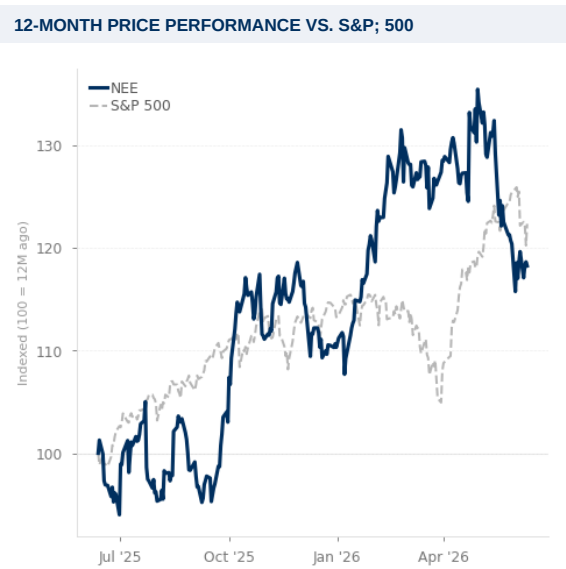
- Dominion deal regulatory pushback in Virginia/multi-state approval process could delay synergies 12-18 months
- IRA tax credit modifications under shifting political winds threaten NEER project economics
- Rising long-end rates compress utility multiples; NEE's premium valuation makes it more rate-sensitive than peers

RECENT NEWS

Is NextEra Energy, Inc. (NEE) A Good Stock To Buy Now? Insider Monkey · 2026-06-11 20:13

Prediction: NextEra Energy's \$67 Billion Dominion Acquisition Could Spur More Utility Deal... Motley Fool · 2026-06-11 17:35

Key Data	
Price (USD)	\$84.84
12M Price Target	\$102.00
Upside / (Downside)	+20.2%
Market Cap	\$176.94B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.75
FY2027E EPS	\$4.10
Fwd P/E	22.6x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$90.00	\$86.00	\$80.00
6 Months	\$96.00	\$90.00	\$78.00
1 Year	\$110.00	\$102.00	\$75.00
2 Years	\$130.00	\$115.00	\$72.00
5 Years	\$175.00	\$145.00	\$80.00
10 Years	\$260.00	\$200.00	\$95.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.73%), Materials (+3.27%)

COLD SECTORS: Utilities (defensive lagging risk-on tape), Staples

ROTATION WATCH: Today's risk-on rotation into Tech/Materials/Industrials suggests utilities will lag short-term, but rising Iran tensions and fuel cost inflation could rotate capital back to regulated names with hedged fuel exposure within weeks.

BYPRODUCT PLAY: AI datacenter power demand is creating a structural tailwind for utilities with surplus renewables capacity — NEE's NEER segment is uniquely positioned to sign long-duration hyperscaler PPAs at premium pricing.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): Nuclear baseload + hyperscaler PPA deals driving 30%+ YTD outperformance vs XLU
- VST (Vistra): Texas merchant exposure plus AI datacenter narrative producing outsized returns

NEE CONTEXT: NEE is lagging the AI-power pure-plays (CEG, VST) but outperforming traditional regulated peers (SO, DUK) — sits in middle of pack as market debates whether Dominion deal dilutes the growth story or accelerates it. Relative performance suggests market is pricing in execution risk, creating asymmetric upside if synergies are confirmed.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$82-85 on pullbacks; add aggressively sub-\$80

Time Horizon: 12-24 months

Thesis Invalidation: Dominion deal regulatory failure, IRA repeal of PTC/ITC, or FPL ROE cut below 10%

Hedging: Pair long NEE vs short XLU basket; or buy Jan-27 \$75 puts